



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a group of companies having several segments and focused on such various practical accounting issues as disposal of a subsidiary, discontinued operation, and group share-based payment transaction. This case question assessed candidates' logical thinking and analytical skills balanced with computations (for example, how to calculate the gain on the disposal of a subsidiary as well as how to apply equity accounting to an investment in the associate). Candidates' performance varied; some of the candidates satisfactorily demonstrated how to apply the relevant knowledge in the case question, while some either chose not to attempt the questions or wrote irrelevant materials in their answers.

Specific Comments

Question 1 – 18 marks

This question required candidates to prepare consolidation adjustment journal entries and to tackle an open-ended question in relation to power under the control framework in HKFRS 10 *Consolidated Financial Statements*.

Question 1(a) assessed candidates' ability to calculate goodwill and reconcile non-controlling interest in the form of consolidation adjustment journal entries. This question was straightforward, and the candidates' performance was good. Some candidates still demonstrated weaknesses in certain basic consolidation techniques such as how to account for acquisition-related costs, how to deal with the fair value adjustment in the periods after the business combination, and how to share the profits of the subsidiary to the non-controlling interest. A minority of candidates were unable to present their answers in the form of consolidation adjustment journal entries as required and therefore yielded no marks.

Question 1(b) required candidates to provide additional information before concluding whether the Group has power over the investee after the disposal of shares. It required candidates to consider, in a broad sense, how power should be assessed if the Group held less than a majority of the voting rights.

Candidates were only able to address this question in a very narrow manner. Further, it was noted that candidates' answers were very disorganised which, to a certain extent, reflected candidates' weaknesses in arranging their ideas in a logical and well-reasoned manner. For example, quite a number of candidates mentioned the ability

of appointment of directors and the dispersion of holdings of the other vote holders together. These are obviously two different areas and should be discussed separately whenever appropriate. Some candidates were able to address this question by linking it to potential voting rights held by the investor; yet, they could not present their ideas in a logical manner as to how such rights could affect whether the investor has power. Similar observations were noted for “de facto control”. These demonstrated that candidates only had a relatively brief understanding of the relevant concepts. HKFRS 10 provides a framework on how to assess power when the investor holds less than a majority of the voting rights with a number of major considerations. If candidates were aware of such, the presentation of their ideas would have been much more organised.

Some candidates did not spend their time wisely and included discussions which were irrelevant in the question. For example, the question specifically required candidates to discuss the concepts of power. Some candidates discussed other components under the control framework in HKFRS 10, which were not necessary. Further, the fact pattern in the case question confirms that the relevant activities of the investee are directed through voting rights; however, some candidates wrongly provided additional information assuming that voting rights are not relevant in directing the relevant activities of the investee. Candidates are reminded to read carefully the fact patterns in the case as well as the requirements in the question before drafting their answers.

Question 2 – 21 marks

This question required candidates to tackle group accounting issues involving disposal of a subsidiary and the presentation requirements of a discontinued operation arising from such disposal in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*.

Specifically, Question 2(a) assessed candidates’ ability to advise on the accounting impacts to the Group relating to the disposal of a subsidiary with loss of control. Candidates’ performance was disappointing as they, in general, demonstrated weaknesses in dealing with a disposal of a subsidiary. Though most of the candidates were able to quote the relevant accounting treatments of a disposal of a subsidiary with loss of control from HKFRS 10, they were not able to apply the concepts in this case to calculate the gain/loss arising from the disposal of the subsidiary.

While candidates in general were able to mention the accounting impacts on the consolidated statement of financial position as well as the consolidated statement of profit or loss and other comprehensive income, many candidates did not address the specific question requiring them to advise on the impacts on the consolidated statement of cash flows. Candidates are reminded to understand holistically the accounting impacts of a business transaction to the complete set of financial statements in Module 11.

It was delighted to see that candidates were able to conclude that the investment, after the disposal, became an investment in associate with good justifications. Some outstanding candidates further demonstrated their understanding of equity accounting by calculating correctly the share of associate’s profits.

It was, however, noted that some candidates failed to make conclusion(s) based on the information provided in the case. For example, some candidates discussed both scenarios for a disposal with and without loss of control in their answers, ignoring the fact clearly provided in the case that the Group lost control upon the disposal of the

subsidiary. Some candidates wrote that the investment, after the disposal, could be either an investment in associate, or a financial asset measured under HKFRS 9 (2014) *Financial Instruments*, without using the facts in the case to draw a proper conclusion. Candidates are reminded that they are expected to logically draw a conclusion based on the fact patterns, which is an important aspect of financial reporting.

Question 2(b) assessed candidates' ability to justify why the investment, after the disposal, qualified as a discontinued operation. Many candidates were able to link to the relevant principles in HKFRS 5 and thus performed satisfactorily.

Question 2(c) further required candidates to describe how a discontinued operation should be presented in the consolidated financial statements and prepare relevant extracts with reference to the case. While some candidates were able to extract the relevant presentation requirements in HKFRS 5, a majority of the candidates failed to apply such requirements in the preparation of the extracts. Quite a number of candidates failed to demonstrate sufficient understanding of HKFRS 5 and justified this investment qualified as a disposal group held for sale, ignoring the fact that the subsidiary had already been disposed of, with loss of control, at the end of the financial year. Candidate performance in this part was thus disappointing.

Question 3 – 11 marks

This question required candidates to apply the fundamental knowledge of share-based payment, in accordance with HKFRS 2 *Share-based Payment*, to a group share-based payment transaction. Candidates' performance varied.

Though the scenario was relatively straightforward, a number of candidates chose not to attempt this question. Those who attempted this question performed satisfactorily and reached logical conclusions as to how the share-based payment transaction should be classified in the financial statements of the subsidiary, the separate financial statements of the parent, and the consolidated financial statements. Some outstanding candidates provided the correct journal entries as required.

Candidates are however reminded to read carefully the scenario in the case question before copying the accounting treatments from their study materials. It was obvious in this case question that no equity instruments would be issued to the senior executives; some candidates, however, answered it in a contradictory way and yielded no marks.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards that could be relevant, although there were also cases where the answers did not address specifically the area(s) that were explicitly asked.



Candidates who scored full or high marks were able to present their answers logically and succinctly in response to what was required, with their answers being supported with precision from the relevant financial reporting standards requirements. The question also included marks for communication and analytical skills, which some candidates forfeited.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 4 – 20 marks

This question required candidates to analyse whether the two flexible workspace arrangements presented in the case fall under the scope of HKFRS 15 *Revenue from Contracts with Customers* ("HKFRS 15") or HKFRS 16 *Leases* ("HKFRS 16") and the resulting accounting treatment and timing of recognition of the fees identified. Performance on this question was fair.

Dedicated office suites

Most candidates were able to arrive at the conclusion that HKFRS 16 applies with some technical support. Some of the candidates were able to identify the existence of non-lease components but not many further discussed the corresponding accounting treatment. For those that managed to move on to discuss accounting treatment, some brought in the practical expedient in HKFRS 16 para. 15, which is not relevant to a lessor.

Many candidates managed to discuss the classification of the lease and the corresponding accounting treatment of the fees received. Very few candidates noticed that there was a possibility of the arrangement being classified as a finance lease when we are required to assess by reference to the right-of-use asset arising from the head lease as opposed to the underlying assets.

Some candidates talked about the accounting treatment from the perspective of a lessee, when the company was supposed to be the lessor.

Hot desk access

Most candidates were able to argue and conclude that there was no identified asset and hence the arrangement does not contain a lease; so HKFRS 15 applies. Not many candidates further discussed the identification of performance obligations but jumped to the conclusion on the timing of recognising the fees received as revenue.

A few of the candidates focused on applying the 5-step model in their discussion, which was not relevant to the question being asked.



Question 5(a) – 7 marks

This question required candidates to identify the companies being related parties and also being government-related under HKAS 24 *Related Party Disclosures*. The candidates were also required to demonstrate their awareness of the disclosure requirements on related party transactions and how the exemption for government-related entities apply. Performance on this question was less than satisfactory.

Most candidates were able to identify the companies being related parties, but some failed to recognise the availability of exemption regarding government-related entities.

Some candidates brought in discussions about government grants and even code of ethics, which were not the areas of focus.

Question 5(b i+ii) – 6 marks

This question required candidates to describe how the numerators and denominators in the calculation of basic and diluted earnings per share would be affected if the company issued plain vanilla preference shares during the year and went through a share-split after year end but before the financial statements were authorised for issue.

Performance on this question was less than satisfactory.

In general, candidates were able to give sensible comments on the impact of preference shares, although some assumed it was a convertible. Candidates are reminded that the adjustments to earnings should be post-tax.

As for share split, most candidates did not demonstrate their awareness of HKAS 33 para. 64, which requires retrospective adjustment to all earnings per share since the beginning of the earliest period presented (i.e., including comparatives), even if the transaction occurred after the reporting date.

Candidates are advised to discuss the impact on basic and diluted earnings per share calculation separately, as some of the answers were not clear which number (e.g., basic EPS / diluted EPS / numerator / denominator) they were trying to address.

Question 5(c) – 4 marks

This question required candidates to advise on the impact on the financial statements when the company sourced its products from a supplier that had child slave labour issues. This is an open question that required candidates to think about how ESG-related issues impact a company's business and then translate to how that is going to be reflected in the financial statements.

Performance on this question was poor.

Most candidates were not able to bridge what was happening in the business to implications on the financial statements, although quite a number were able to pinpoint



impairment to be a potential issue.

Question 6(a) – 5 marks

This question required candidates to evaluate if it was acceptable to proceed with change in accounting policy to adopt a revaluation model in measuring the patented formula that was acquired when the company was already using the cost model for the patent formula developed by themselves.

Performance on this question was less than satisfactory. While most candidates were able to identify the issue, analyse the facts, and arrive at the correct conclusion, it was noted quite a number of individuals became side-tracked in their answers, e.g., by discussing recognition criteria of intangible assets, use of valuation techniques, etc..

Question 6(b) – 8 marks

This question required candidates to comment on whether provisions should be recognised as a result of it's the vaccines being described as causing side-effects right after the year end and having lawsuits pending.

Many candidates were able to identify HKAS 37 as being relevant, but few went through each element of consideration based on the recognition criteria of the provision. Most candidates jumped directly into the conclusion that there must be a present obligation. Many also did not notice the rough estimate provided by the lawyers would not necessarily be equal to the best estimate.

Candidates are reminded that the insurance cover is not to be offset against the provisions made on the statement of financial position, if any.

Even though the question covered relatively fundamental concepts, many did not attempt to answer it.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment. On one hand, candidates need to know when they have to obtain additional information before reaching a conclusion, under which they have to think broadly with reference to the business case in practice as well as the framework provided in the financial reporting standards. On the other hand, candidates need to know when they have to draw a reasonable conclusion, under which they have to fully utilise the fact patterns provided in the case scenario.



Candidates are reminded to read the questions carefully and address what is being asked. Candidates should also be aware that accounting issues nowadays usually involve application of a wide number of financial reporting standards. In addition to the conclusions made, it is also important to demonstrate an understanding of how the answers are being arrived at with clear articulation of which areas one is trying to address.